AppealDesk

Your Homeowner Savings Guide

Prepared for: **Alex Morgan**
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Property Tax Exemptions & Credits You May Qualify For

Based on your property in Mchenry County, Illinois, we have identified the following property tax exemption and credit programs that may apply to you. Each program listed below includes eligibility requirements, estimated savings, and instructions for how to apply. *Since we do not collect personal information such as age or veteran status, each program below is listed as "If you qualify..." so you can identify which programs may apply to your household.*

General Homestead Exemption
Reduces your home's equalized assessed value (EAV) by up to $10,000 in Cook County and $8,000 in all other counties.

Estimated Savings: $500-$1,500/year

Eligibility: Must own and occupy the property as your principal residence. Must be liable for paying the property taxes.
Deadline: Varies by county; typically file with your county assessor's office
Form: Varies by county
Apply: https://tax.illinois.gov/localgovernments/property/taxrelief.html
In Cook County, this exemption is $10,000 off EAV. In all other counties, it is $8,000 off EAV. Must refile if you move to a new property.

Senior Citizens Homestead Exemption
Additional reduction of up to $8,000 off your EAV in all counties.

Estimated Savings: $400-$1,200/year

Eligibility: Must be 65 or older during the assessment year and own and occupy the property as your principal residence.
Deadline: Must apply annually with your county assessor
Form: PTAX-324
Apply: https://tax.illinois.gov/localgovernments/property/taxrelief.html
This exemption must be applied for annually. Can be combined with the General Homestead Exemption.

Disabled Veterans Standard Homestead Exemption
Reduces the EAV of a qualifying veteran's homestead by $2,500 to $5,000 based on disability rating. Veterans with a 70%+ disability rating or an annual income of $55,000 or less may qualify for an additional exemption up to $250,000 of EAV.

Estimated Savings: $200-$5,000+/year depending on disability rating

Eligibility: Must be a veteran with at least 30% service-connected disability (standard) or 70%+ disability (additional exemption).
Deadline: Varies by county
Form: PTAX-342
Apply: https://tax.illinois.gov/localgovernments/property/taxrelief.html
The additional exemption for 70%+ disabled veterans can essentially eliminate property taxes on modest homes. Must provide VA disability documentation.

Persons with Disabilities Homestead Exemption
Reduces the EAV by $2,000 for homeowners with disabilities.

Estimated Savings: $100-$300/year

Eligibility: Must have a disability as defined by the Illinois Department of Revenue. Must own and occupy the property as principal residence.
Deadline: Must apply annually
Form: PTAX-343
Apply: https://tax.illinois.gov/localgovernments/property/taxrelief.html
Requires annual renewal. Can be combined with the General Homestead Exemption.

Surviving Spouse
Illinois does not have a separate statewide widow/widower exemption. Surviving spouses of disabled veterans may qualify under the veteran exemption.

Senior Citizens Assessment Freeze
Freezes the EAV of your home at the base year amount as long as you continue to qualify. Your EAV cannot increase, though it can decrease if the market drops.

Estimated Savings: Varies; protects against future EAV increases

Eligibility: Must be 65 or older, own and occupy the property as principal residence, and have a total household income of $65,000 or less.
Income Limit: $65,000
Deadline: Must apply annually
Form: PTAX-340
Apply: https://tax.illinois.gov/localgovernments/property/taxrelief.html
This freezes your EAV, not your tax bill. Your taxes can still change if tax rates change, but the assessed value portion is locked. Requires annual application with proof of income.

Senior Citizens Real Estate Tax Deferral

Allows qualifying seniors to defer all or part of their property taxes as a loan against their property.

Estimated Savings: Defers full tax bill (6% annual interest rate on deferred amount)

Eligibility: Must be 65 or older with household income of $65,000 or less. Must have adequate property insurance.

Home Improvement Exemption

Up to $75,000 in fair market value ($25,000 in EAV) of home improvements are exempt from reassessment for 4 years.

Estimated Savings: Avoids reassessment on improvements for 4 years

Eligibility: Home improvements (not new construction) on an existing residential structure. Must be for an owner-occupied home.

Source: https://tax.illinois.gov/localgovernments/property/taxrelief.html

These programs are independent of your property assessment. You can apply for exemptions regardless of whether you file a property tax appeal. Even if your assessment is accurate, you may be overpaying taxes simply because you have not applied for exemptions you qualify for.

Exemption programs and eligibility requirements change periodically. The information above is current as of 2026-03. Verify current requirements with your county assessor's office before applying.

Reassessment Protection Guide

Understanding what triggers a reassessment of your property can help you protect your current assessed value and avoid unexpected tax increases.

Actions That May Trigger Reassessment

- **Building permits:** Pulling a permit for renovations, additions, or structural changes will typically notify the assessor of improvements to your property.
- **Major visible renovations:** Exterior improvements such as new roofing, siding, additions, or added structures (pools, garages, ADUs) may prompt a reassessment even without a permit.
- **Listing on MLS:** Listing your home for sale, even temporarily, can expose a higher market value to the assessor, especially if the listing price significantly exceeds your current assessed value.
- **Refinance appraisals:** In some jurisdictions, a high appraisal obtained during refinancing can become part of the public record and influence your assessment.
- **Insurance rebuild valuations:** Replacement cost estimates from insurance claims can signal a higher property value.
- **Adding structures:** Pools, accessory dwelling units (ADUs), detached garages, and other permanent structures increase your property's value.

How to Protect Your Current Assessment

- **Document your home's current condition:** Take dated photos showing any deferred maintenance, needed repairs, or functional issues. This documentation can support a lower valuation if challenged.
- **Keep records of needed repairs:** Maintain a list of deferred maintenance items (aging HVAC, roof wear, plumbing issues). These reduce your home's value relative to comparable properties.
- **Understand your reassessment schedule:** Know when your county's next reassessment year is so you are not caught off guard by changes.
- **Review your annual assessment notice:** When you receive your notice of assessed value, compare it to the prior year and to recent comparable sales in your neighborhood.

Your state's reassessment cycle: Illinois reassesses property on a annual basis. Understanding this cycle helps you anticipate when your assessment might change.

What to Do If Your Assessment Increases

If your assessed value increases significantly, you have the right to appeal. The key steps are:

- Review your appeal deadline (see the Appeal Window section of this packet)
- Gather comparable sales data showing your home's actual market value
- Document any property-specific factors that reduce value (condition issues, location drawbacks, functional obsolescence)
- File your appeal before the deadline

AppealDesk can generate a comprehensive evidence packet if your assessment rises in the future. Visit https://www.appealdesk.com to get started.

Understanding Your Property Tax Bill

Your property tax bill includes more than just the base property tax. Understanding each component helps you identify which charges can be challenged and where potential savings exist.

Your Tax Breakdown at a Glance
Based on your current assessment of **$106,682** and annual tax of **$7,581.96**, your effective tax rate is approximately **7.11%**.
Note: This rate is calculated on your taxable assessed value of $106,682, not your home's full market value. Your effective rate on market value is approximately 2.37%. The effective rate includes all taxing jurisdictions (school district, county, city, and special districts) combined.

How Your Tax Is Calculated

The core formula is: **Assessed Value x Tax Rate = Base Property Tax**. Your total bill then adds special district assessments, voter-approved bonds, and various fees on top of this base amount.

Common Line Items You May See

- **School district levy:** Typically the largest portion (often 40-50% of total). Funds local public schools and sometimes community colleges.
- **County general fund:** Covers county services including roads, courts, public safety, and administration.
- **City/municipal tax:** Funds city services such as police, fire, parks, and infrastructure. Only applies if you live within city limits.
- **Fire/emergency services district:** Funds local fire protection and emergency medical services. Common in unincorporated areas.
- **Library district:** Funds local library operations and programs.
- **Stormwater/drainage fees:** Based on impervious surface area. Some jurisdictions bill these separately from the tax bill.
- **Voter-approved bonds:** Debt service on bonds approved by voters for schools, infrastructure, parks, or other public projects.
- **Solid waste assessment:** Some jurisdictions include trash collection fees on the property tax bill.
- **Special improvement districts:** Charges for lighting, sidewalks, or other neighborhood-level improvements.

Which Charges Can Be Challenged?

Challengeable **Ad valorem (value-based) taxes:** The core property tax based on your assessed value. This is what a property tax appeal addresses. Reducing your

assessed value reduces this portion of your bill proportionally.

Separate Process **Special assessments and fees:** Flat-rate charges for specific services (stormwater, solid waste, special districts) often have their own dispute process. Contact your county for details.

Not Challengeable **Voter-approved bonds:** Bond levies approved at the ballot box generally cannot be individually challenged through the appeal process.

Where Your Tax Dollars Typically Go

While the exact breakdown varies by jurisdiction, a typical distribution of property tax revenue is:

~45%	~25%	~15%	~15%
Schools	County Services	City/Municipal	Special Districts

These are national averages. Your jurisdiction's breakdown may differ. Check your tax bill or county website for the exact distribution.

Energy Savings & Rebate Finder

Beyond property tax savings, significant financial incentives are available for home energy improvements. Many homeowners are unaware of these programs, which can save hundreds to thousands of dollars per year on energy costs.

Federal Programs (Available Nationwide)

Energy Efficient Home Improvement Credit (25C)
Tax credit of up to $3,200/year for qualifying home energy improvements including insulation, exterior doors, windows, central air conditioners, heat pumps, water heaters, and electrical panel upgrades.

Up to $3,200/year ($1,200 general limit + $2,000 for heat pumps/heat pump water heaters)

Eligibility: Available to all homeowners for improvements to their primary residence. Must meet ENERGY STAR or other efficiency standards.
How to claim: Claim on your federal tax return using IRS Form 5695. Keep receipts and manufacturer certification statements.
Available through: Through December 31, 2032
Details: https://www.energystar.gov/about/federal_tax_credits/tax_credits_702

Residential Clean Energy Credit (25D)
30% tax credit on the cost of solar panels, solar water heaters, battery storage, geothermal heat pumps, fuel cells, and small wind turbines.

30% of total system cost (no maximum limit)

Eligibility: Available to homeowners for installations on any home they own (primary or secondary). Must be a new installation, not previously used.
How to claim: Claim on your federal tax return using IRS Form 5695. Unused credit can carry forward to future tax years.
Available through: 30% through 2032, then 26% in 2033, 22% in 2034
Details:
https://www.energystar.gov/about/federal_tax_credits/renewable_energy_tax_credits

High-Efficiency Electric Home Rebate Act (HEEHRA)
Point-of-sale rebates for electrification upgrades: up to $8,000 for heat pumps, $1,750 for heat pump water heaters, $840 for electric stoves/dryers, $4,000 for electrical panel upgrades, and $1,600 for insulation.

Up to $14,000 total in rebates per household

Eligibility: Income-qualified: households earning less than 150% of area median income get the largest rebates. Moderate-income households (150-200% AMI) get

50% rebates. Above 200% AMI are not eligible for HEEHRA rebates.
How to claim: Applied as a point-of-sale discount through participating contractors. Check with your state energy office for availability.
Available through: Funds available until September 30, 2031 or until exhausted
Details: https://www.energy.gov/scep/home-energy-rebates-programs

Illinois Programs

Illinois Solar for All
Incentives for solar installations for income-eligible households, including community solar subscriptions and rooftop installations at no cost.
Details: https://www.illinoissfa.com/
Designed for low-income households. Provides solar installations with no upfront cost and guaranteed electricity savings.

ComEd and Ameren Rebate Programs
Major Illinois utilities offer rebates for smart thermostats, LED lighting, ENERGY STAR appliances, and HVAC upgrades.
Details: https://www.comed.com/ways-to-save
ComEd serves northern Illinois; Ameren serves central and southern Illinois. Both offer substantial rebate programs.

Illinois Adjustable Block Program (Solar Renewable Energy Credits)
Financial incentives for new solar installations through the sale of Solar Renewable Energy Credits (SRECs) over 15 years.
Details: https://www.illinoissfa.com/
Can provide $5,000-$15,000+ in additional value over 15 years on top of the federal tax credit.

Contact ComEd (northern IL) or Ameren Illinois (central/southern IL) for current energy efficiency rebates and programs.

Where to Start

For maximum savings, energy efficiency experts recommend this order of improvements:

1. **Air sealing and insulation first.** This has the highest return on investment and enables right-sizing of HVAC equipment. Typical savings: 15-30% on heating and cooling costs.
2. **HVAC heat pump upgrade.** Heat pumps provide both heating and cooling, qualify for the largest rebates, and can reduce energy costs by 30-50% compared to traditional systems.
3. **Water heater replacement.** Heat pump water heaters use 60-70% less energy than conventional models and qualify for substantial rebates.

Federal tax credits require filing IRS Form 5695 with your annual tax return. State and utility programs may have different application processes. Program availability and amounts are subject to change. Consult with a tax professional regarding your specific eligibility.

Property Tax Watch: Never Overpay Again

You have taken the first step by understanding your current assessment. Property Tax Watch ensures you stay ahead of any future changes, with automatic monitoring and alerts when your assessment increases.

- ✓ **Annual assessment change alerts** delivered to your inbox when your county updates your property value
- ✓ **Automatic overassessment detection** comparing your assessed value against current market data
- ✓ **Filing deadline reminders** so you never miss your window to appeal

Activate Your Free 12-Month Monitoring

https://www.appealdesk.com/tax-watch

Appeal Window & Deadline Summary

In Illinois, the process for challenging your property assessment is called an "appeal." Here is what you need to know about timing and deadlines for Mchenry County.

Mark Your Calendar
Illinois Appeal Deadline: 30 days from publication
Review Board: Board of Review
County: Mchenry County, Illinois

The typical appeal window in Illinois is **Year-round by township**. During this period, homeowners can file a formal appeal of their assessed property value.

When Your Appeal Window Opens
Your appeal window typically opens when you receive your **Notice of Assessment** from the county. This notice is mailed to property owners, usually in the spring.
Keep this notice. You will need it to file your appeal. It contains your property identification number, current assessed value, and instructions for filing.

Illinois Appeal Process

If you choose to appeal, the process follows these levels:

1. County Assessor (Informal)
2. Board of Review
3. Property Tax Appeal Board (PTAB)
4. Circuit Court

An **informal review** is available before the formal hearing in most jurisdictions. This is often the fastest path to resolution.

If you need a complete evidence packet to support your appeal, AppealDesk can generate one with comparable sales analysis, a cover letter, and filing instructions tailored to your property. Visit https://www.appealdesk.com to get started.

This guide is for informational purposes. Exemption eligibility and program details should be verified with your county assessor's office before applying. Energy rebate programs are subject to change and funding availability. Consult with a tax professional regarding your specific eligibility for tax credits.